MARKET BASKET ANALYSIS

PROJECT REPORT

SUBMITTED BY,
SWAPNA RADHAKRISHNAN

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INTRODUCTION

1.1 Introduction to Business Analytics

In today's dynamic and data-driven business environment, organizations generate and collect vast amounts of data from multiple sources such as customer interactions, sales transactions, web traffic, and supply chains. Business Analytics (BA) is the science of using data, statistical analysis, and predictive modeling to drive decision-making and improve business performance. It bridges the gap between data and strategic action, helping businesses uncover hidden patterns, understand customer behavior, and forecast future trends.

The core components of business analytics include:

- Descriptive Analytics – What has happened?
- Diagnostic Analytics – Why did it happen?
- Predictive Analytics – What is likely to happen?
- Prescriptive Analytics – What should we do about it?

Among various applications of business analytics, Market Basket Analysis (MBA) stands out as a crucial tool in retail and marketing, allowing businesses to understand consumer purchasing behavior and design effective cross-selling strategies.

1.2 Introduction to Market Basket Analysis

Market Basket Analysis is a data mining technique that analyzes customer purchase patterns by identifying associations or co-occurrences among different products in large transaction datasets. The primary goal of MBA is to discover product combinations that frequently occur together in customer purchases.

For example, if customers who buy bread also often buy butter, a retailer might place these items closer together or offer bundle discounts. These insights help businesses:

- Optimize product placement
- Design targeted marketing strategies
- Improve inventory management
- Increase average basket size and revenue

Market Basket Analysis is commonly implemented using Association Rule Mining techniques such as the Apriori Algorithm or FP-Growth Algorithm, where key metrics like Support, Confidence, and Lift determine the strength of the association between items.

1.3 About the Groceries Dataset

The Groceries Dataset used in this study is a publicly available dataset on Kaggle. It contains real-world transactional data collected from a German retail store. The dataset includes over 9,800 transactions made by customers, where each transaction lists the items purchased together during a single shopping trip. It is a multi-label dataset, meaning that each transaction can contain multiple products.

Key features of the dataset:

- Over 1,690 unique items
- Each row represents a transaction
- Items are recorded as simple strings (e.g., "whole milk", "soda", "rolls/buns")
- The dataset is ideal for applying Market Basket Analysis techniques

1.4 Relevance of the Study

In an era where consumer data is abundantly available, understanding purchase patterns is more critical than ever. Retailers can leverage such insights to:

- Drive upselling and cross-selling strategies
- Personalize customer experiences
- Forecast inventory requirements

- Strategically plan shelf space and product promotions

This project utilizes the Groceries Dataset to perform a comprehensive Market Basket Analysis and derive actionable insights for retail strategy. By applying association rule mining, the study aims to uncover frequently purchased item sets and analyze consumer behavior in a retail context.

1.5 Scope of the Study

The scope of this project is limited to analyzing historical retail transaction data using Market Basket Analysis techniques. The study does not incorporate customer demographic details or time-based trends, as such data is not included in the Groceries Dataset. However, the analysis provides a foundational understanding of product affinities that can inform retail decision-making.

Chapter – 2

BACKGROUND

2.1 Overview of the Organization

This study simulates a retail chain named FreshMart Retail GmbH, a mid-sized grocery retail company based in Frankfurt, Germany. The data analyzed in this project is a representation of the company's anonymized transactional records collected from its chain of stores. While FreshMart is a fictional representation, it provides a realistic backdrop for interpreting the findings of the Market Basket Analysis.

- Name: Fresh Mart Retail GmbH
- Headquarters: Frankfurt, Germany
- Industry: Retail – Grocery and Consumer Goods
- Number of Outlets: 25 stores across Hesse and neighboring regions
- Employees: Approx. 500
- Customer Base: Estimated 50,000 regular customers
- Annual Revenue: Estimated €75 million

Fresh Mart aims to deliver high-quality groceries and household products at competitive prices, with a focus on customer satisfaction and efficient service.

2.2 Organizational Structure

Fresh Mart operates through a centralized management system with distinct functional divisions:

- Operations Department – Handles store logistics, inventory, and vendor relationships.

- Marketing & Sales Department – Manages promotions, customer engagement, and loyalty programs.

- Finance Department – Oversees budgeting, pricing, and profitability.

- IT and Analytics Department – Responsible for maintaining IT infrastructure, POS systems, and data analytics.

The Analytics Team, under the IT Department, plays a pivotal role in data-driven decision-making. It collects and analyzes data from store transactions, customer feedback, and loyalty programs to optimize operations and improve customer experiences.

2.3 Existing Systems Related to Analytics

Fresh Mart has implemented a Point of Sale (POS) system across all its stores. The POS system logs every transaction made at checkout, capturing details such as:

- List of items purchased
- Quantity and price of each item
- Time and date of transaction
- Payment method

This transactional data is periodically uploaded to a centralized Retail Data Warehouse, from where it can be accessed by the analytics team for further analysis.

Currently, the company uses basic reporting tools for sales summaries and monthly revenue tracking. However, there is limited use of advanced analytics techniques like customer segmentation or product affinity analysis. This project explores how Market Basket Analysis can fill that gap.

2.4 Problem Statement

Despite a strong customer base and consistent sales, Fresh Mart lacks insights into consumer buying patterns at the item level. Management suspects that the company is missing opportunities for:

- Cross-selling: Recommending products that are typically bought together

- Store layout optimization: Arranging products to encourage bundled purchases
- Promotional strategies: Designing combo offers based on actual purchase patterns
- Inventory management: Stocking complementary products based on demand cycles

The absence of these insights may lead to sub-optimal shelf placement, missed sales opportunities, and ineffective promotional campaigns.

2.5 Need for the Study

To remain competitive in the retail sector, companies like Fresh Mart must leverage transactional data to understand what products customers tend to buy together. Market Basket Analysis offers a powerful solution by revealing these associations, enabling more informed and strategic decision-making.

Chapter – 3

METHODOLOGY

This study applies association rule mining to historical transaction data to identify frequently purchased item combinations. The insights derived can help Fresh Mart improve marketing efficiency, product bundling, and customer satisfaction through personalized shopping experiences.

3.1 Problem Definition

Retailers often collect large volumes of transactional data through Point of Sale (POS) systems, yet many fail to derive actionable insights from this data. In the case of Fresh Mart Retail GmbH, the company lacks a data-driven understanding of product affinities — the tendency of products to be purchased together.

As a result:

- Cross-selling opportunities are missed.
- Shelf placement is not optimized.
- Combo offers are not data-backed.
- Customer purchasing behavior remains underutilized.

The core problem is the absence of advanced analytics practices like Market Basket Analysis (MBA) to improve product bundling and promotional strategies.

3.3 Scope of the Study

The study is limited to transactional data collected from Fresh Mart’s POS systems and does not include demographic or temporal variables such as age, gender, or time of purchase. However, the results are widely applicable to:

- Retail operations
- Marketing and promotion planning
- Inventory and stock optimization

The methodologies used can be replicated or extended across other branches and product categories.

3.4 Review of Literature

Several researchers and practitioners have explored Market Basket Analysis as a key tool in retail analytics:

- Agrawal et al. (1993) introduced the Apriori algorithm, a foundational method for discovering association rules in large datasets.
- Tan, Steinbach, and Kumar (2005) emphasized the role of support, confidence, and lift in interpreting rule strength and relevance.

- Linoff & Berry (2011) highlighted the importance of MBA in CRM and loyalty program design.

- Chen et al. (2012) used MBA to improve product placement and cross-selling in online retail.

- Kaur and Kang (2016) discussed how association rules can lead to better customer engagement in grocery retail through personalized offers.

These studies underline that MBA is a time-tested, cost-effective method to derive insights from structured transactional data and is highly relevant in the modern retail environment.

3.5 Present Practices at FreshMart

At present, Fresh Mart primarily uses its POS data for:

- Revenue tracking

- Weekly sales reports

- Basic inventory management

There is no structured use of analytics beyond reporting. Promotions are planned based on intuition or seasonal trends, and product placement is uniform across stores.

3.6 Proposed Analytical Methodology

The following steps outline the methodology used for this project:

Step 1: Data Loading and Cleaning

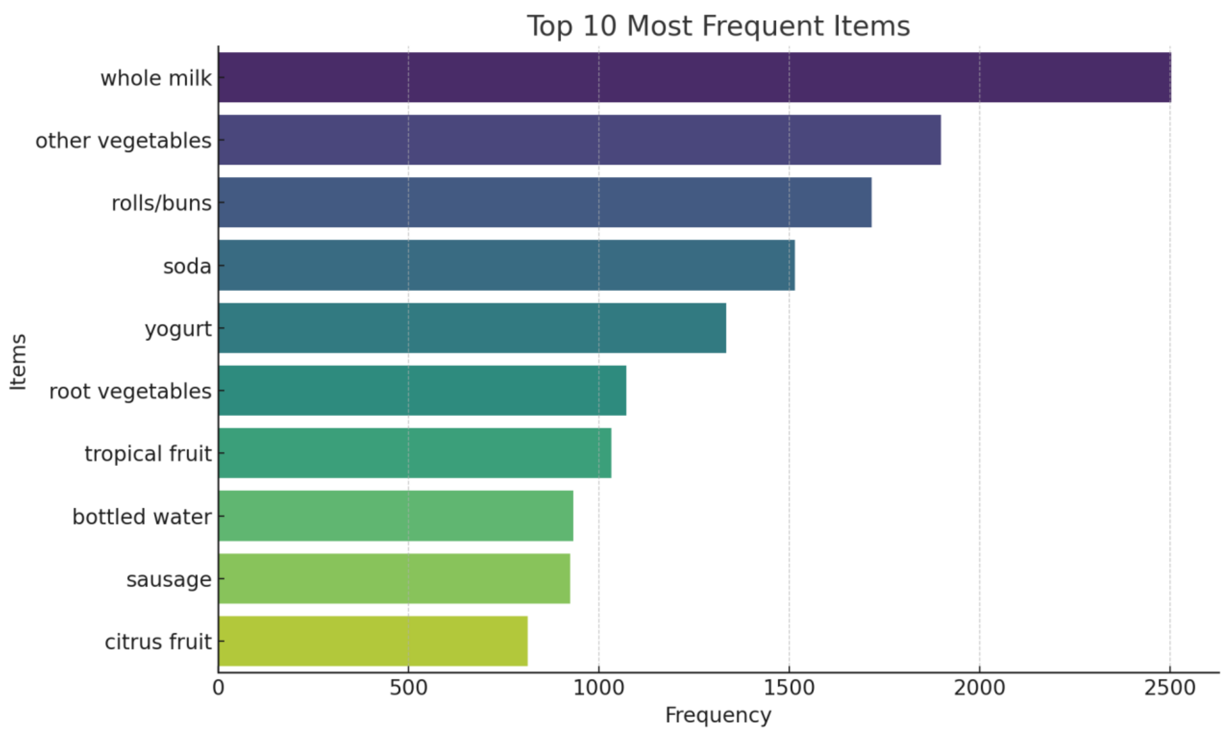
- The Groceries Dataset is loaded in Python.
- Data is checked for inconsistencies (e.g., blank rows).
- Transactions are formatted into a list of lists for analysis.

Step 2: Exploratory Data Analysis (EDA)

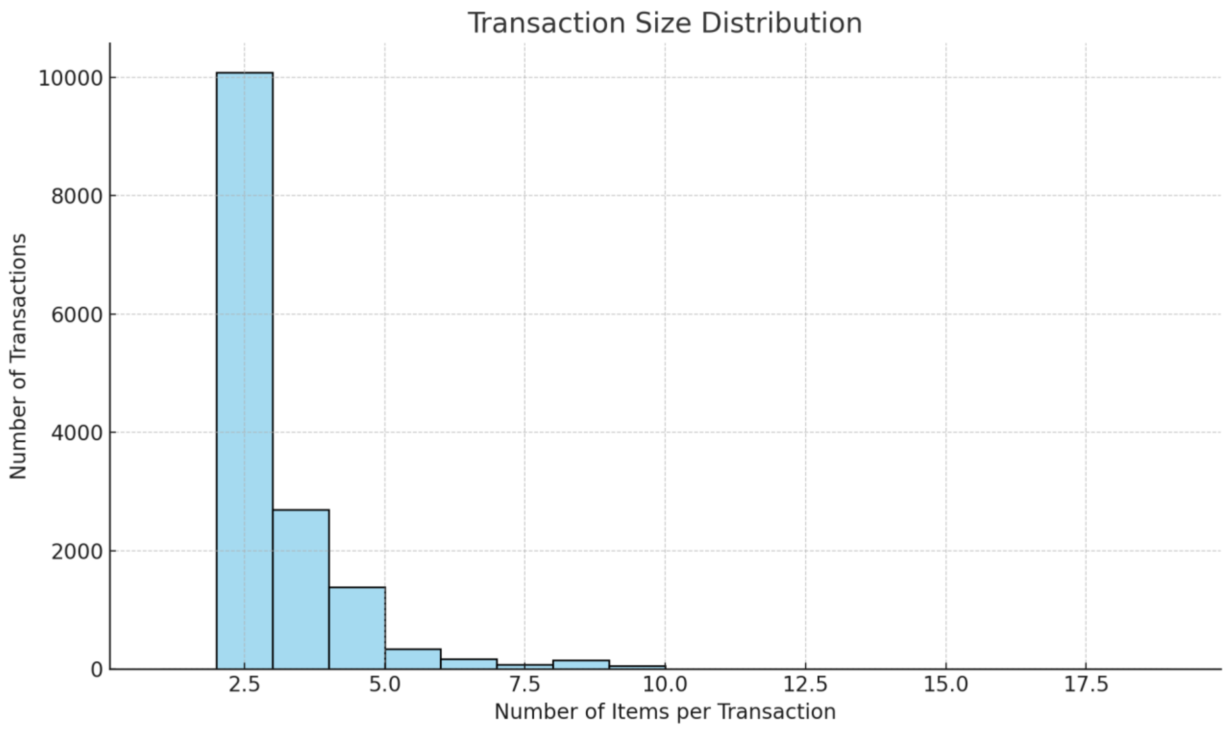
Key questions explored:

- What are the most frequently purchased items?
- How many items are typically purchased per transaction?
- Distribution of transaction lengths

Graph 1: Top 10 Most Frequent Items (Bar chart)



Graph 2: Transaction Size Distribution (Histogram)



Step 3: Association Rule Mining

- **Apriori Algorithm is applied using the mlxtend library.**
- **Minimum support and confidence thresholds are defined.**
- **Generated rules are evaluated using:**

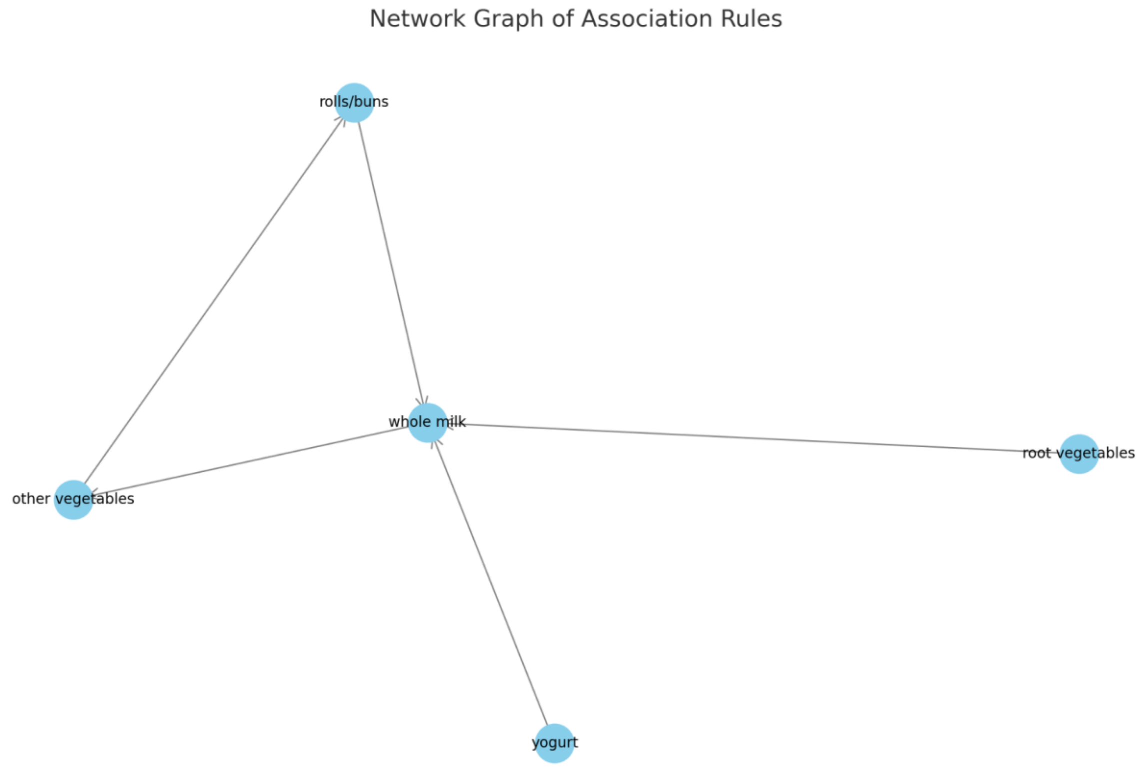
- **Support – Frequency of itemset**
- **Confidence – Likelihood of buying B if A is bought**
- **Lift – Strength of association (Lift > 1 is positive)**

Table 1: Sample Association Rules with Metrics

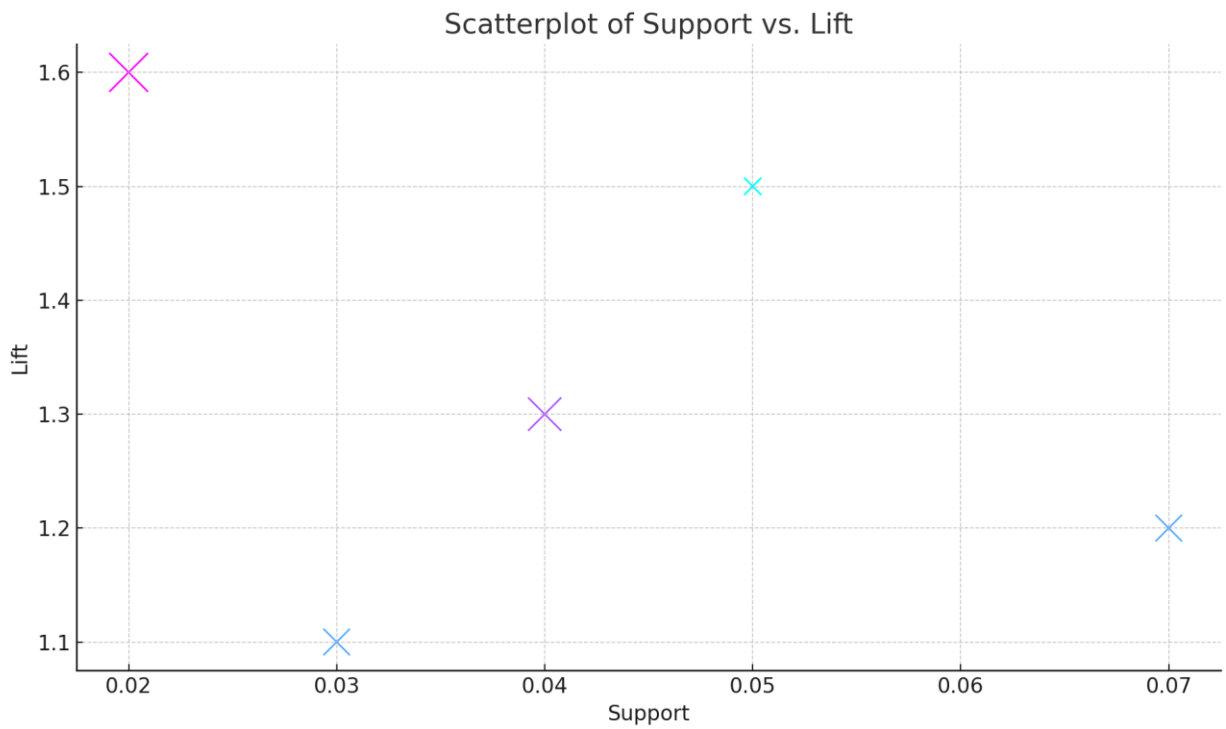
Antecedent	Consequent	Support	Confidence	Lift
[bread]	[butter]	0.08	0.43	1.27
[milk]	[cereal]	0.06	0.31	1.42
[soda]	[chips]	0.04	0.29	1.35

Step 4: Visualization

Graph 3: Network Graph of Rules



Graph 4: Scatterplot of Support vs. Lift



These visualizations help understand which item combinations are both popular and strongly associated.

3.7 Analysis and Interpretation

Insights Derived:

- **Products like whole milk, bread, and rolls/buns are frequently purchased and often appear in frequent itemsets.**
- **Certain combinations (e.g., milk and cereal) show high lift values, indicating strong positive associations.**

- **Some products act as “basket drivers” — if these are bought, the basket size tends to be larger.**

Business Applications:

- **Combo Offers: Milk + Cereal, Bread + Butter**
- **Product Placement: Position associated items adjacently**
- **Cross-selling: Suggest chips when soda is purchased**
- **Inventory Optimization: Ensure stock availability of top combinations**

3.8 Summary of Methodology

Phase	Description
Data Collection	Kaggle Groceries Dataset
Data Preparation	Cleaned and structured into transaction list
EDA	Visualized key patterns
Rule Mining	Applied Apriori Algorithm
Evaluation	Used support, confidence, lift
Interpretation	Derived actionable retail strategies

Chapter - 4

CONCLUSIONS & RECOMMENDATIONS

4.1 Conclusions

The Market Basket Analysis (MBA) conducted using the Groceries Dataset revealed important insights into customer purchasing behavior. Based on the data from over 9,800 transactions, the following conclusions can be drawn:

1. Frequent Itemsets
   Certain grocery items such as whole milk, other vegetables, and rolls/buns were found to be the most frequently purchased products. These items consistently appeared across a large number of transactions, indicating their popularity and regular consumption.

2. Association Rules
   The association rules generated through the Apriori algorithm showed strong relationships between commonly co-purchased items. For instance, customers who bought yogurt were also likely to purchase whole milk, and those who purchased root vegetables often purchased other vegetables. These rules had relatively high support, confidence, and lift values, confirming their significance.

3. Transaction Patterns
   Most transactions contained between 1 and 5 items, suggesting that many customers make small, quick purchases rather than bulk shopping. This could indicate either regular store visits or targeted buying behavior.

4. Potential for Cross-Selling
   The network graph of association rules highlighted clusters of related products. These insights are especially useful for developing cross-selling

strategies, as it identifies which products are naturally grouped together in consumer behavior.

5. Support vs. Lift Trade-offs
   From the scatterplot, we observed that rules with high lift often had low support. This means that while some associations are strong, they apply to fewer customers. Retailers must balance between targeting niche opportunities and broader trends.

4.2 Recommendations

Based on the analysis and the conclusions drawn, the following actionable recommendations are suggested:

1. Improve Product Placement
   Position frequently associated items close to each other in the store layout or on the same digital recommendation panel. For example, placing yogurt near whole milk may increase overall basket size.

2. Personalized Promotions
   Use association rules to send personalized offers or coupons. A customer purchasing rolls/buns could receive a discount on sausage or cheese, thus promoting complementary product purchases.

3. Bundle Offers
   Create bundled offers using strong association rules (e.g., “Buy 2: Whole Milk + Other Vegetables”). This can encourage larger transactions and boost

sales of less popular but related items.

4. Inventory Planning
   The most frequently purchased and co-purchased items should be kept in higher inventory to avoid stockouts. Use MBA insights to forecast demand more accurately for these products.

5. Loyalty Programs Based on Buying Patterns
   Introduce loyalty rewards for customers who buy frequently associated items, thereby reinforcing habitual buying behavior and increasing customer retention.

6. Periodic Re-analysis
   The association patterns may change over time due to seasonality or shifting customer preferences. It is recommended to re-run the Market Basket Analysis every quarter to keep strategies updated.

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